

S&P Global Canada Services PMI®

Service sector experiences contractions in activity and new work during June

June 2026

Uncertainty and high prices weigh on sector performance

Inflation rates nonetheless ease since May

Sentiment drops to lowest level since last November

Having experienced some marginal growth in May, Canada's service sector economy returned to contraction territory during June.

Activity fell on the back of lower new business volumes, with demand impacted by high prices and geopolitical uncertainties. Selling charges indeed rose again, albeit to a lesser degree as input price inflation fell noticeably since May.

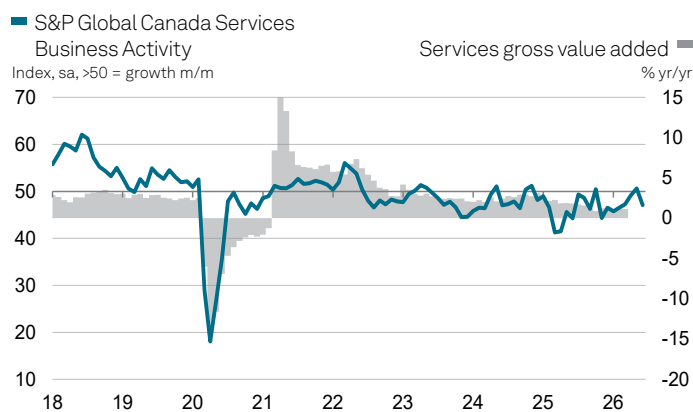
Staff numbers increased marginally, helping firms to keep on top of their workloads as evidenced by a fall in backlogs of work. Confidence in the outlook remained subdued, dropping to a seven-month low.

The headline S&P Global Canada Services PMI® Business Activity Index fell below the critical 50.0 no-change mark in June. Recording 47.1, the index was down from 50.6 in May and represented a solid fall in activity that was the steepest since February. It was the fifth time in 2026 so far that a contraction has been registered.

Underpinning the latest drop of service sector output was a reduction in new business volumes. The marked decline in new work was the second in successive months following marginal growth in April and reflected ongoing weakness in market demand. Firms commented that ongoing geopolitical uncertainties and high prices were leading clients to hold back on purchasing. New export business continued to decline, and to a solid degree despite the rate of contraction easing to its weakest in nearly two years.

On the price front, selling charges continued to increase at a notable pace although some firms recognised the impact high prices were having on sales, which served to limit pricing power and drive down inflation to a three-month low. Reduced cost pressures also helped, with latest data showing a much weaker increase in operating expenses compared to May's four-year peak. Still, inflation remains high and above trend amid reports again of elevated energy and fuel prices. Panellists added that higher wages also contributed notably to their cost bases during June.

Employment numbers rose slightly overall and for the second



Data were collected 11-25 June 2026.

Sources: S&P Global PMI, StatCan via S&P Global Market Intelligence. © 2026 S&P Global

Comment

Paul Smith, Economics Director at S&P Global Market Intelligence:

"Following May's marginal expansion, Canada's service sector returned to contraction territory during June as worries related to geopolitics and government policies resurfaced, weighing heavily on activity and sales. Subsequently, confidence in the outlook deteriorated, with sentiment dropping to a seven-month low."

"High selling prices were also noted as being a drag on sales, something that firms themselves were wary of, serving as a check on their pricing power. Output prices subsequently rose at the weakest rate in three months, a development supported by a steep reduction in input price inflation from May's four-year high. Whilst positive, inflation rates do however remain well above trend and at levels that mean the spectre of second-round effects from this year's energy and supply shock has not yet fully dissipated."

time in the past three months. Although there was some wariness of adding to employment numbers due to cost concerns, firms overall took on extra staff in part to bolster capacity. This helped them drive down backlogs of work to a greater extent than in recent months, with latest data showing the steepest contraction in outstanding business since January.

Finally, confidence in the outlook fell to its lowest level since last November. It was the second month in a row that sentiment has deteriorated. There remain some worries amongst panellists regarding ongoing geopolitical instability, which could continue to limit spending and market confidence. Domestic policy uncertainty was also in some instances reported to be negative for the outlook, whilst others signalled concerns over the impact on their businesses of high prices.

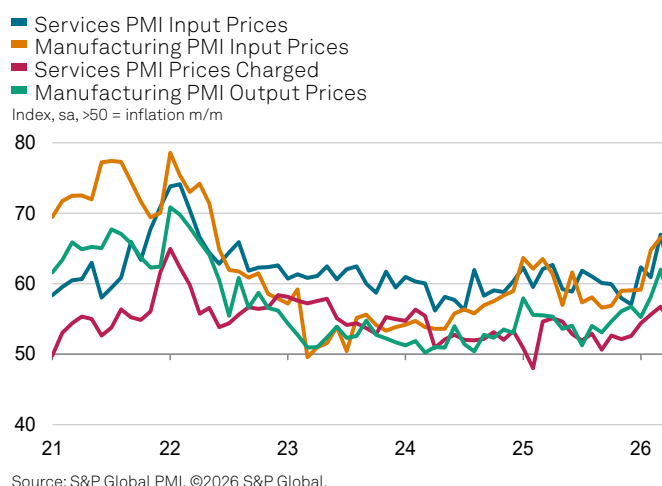
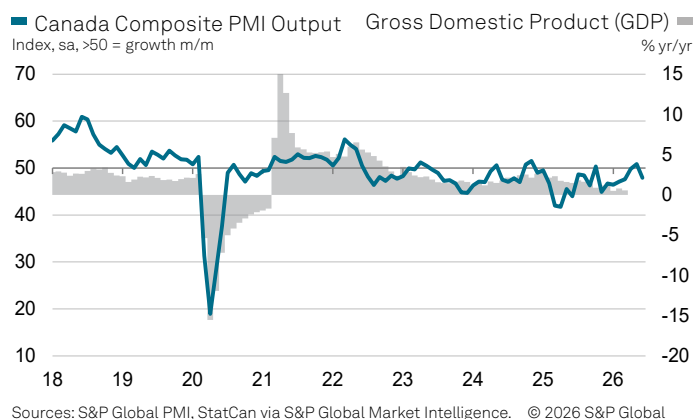
S&P Global Canada Composite PMI®

The S&P Global Canada Composite PMI® recorded 47.9 in June.

That was down from 50.8 in the previous month and was driven by a solid drop of service sector activity as manufacturing output increased solidly.

New orders also fell due to similar sector trends. Modest growth in private sector employment was recorded, however, despite a drop in optimism about the future.

Latest data showed that inflationary pressures also softened during June.



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Methodology

The S&P Global Canada Services PMI® is compiled by S&P Global from responses to questionnaires sent to a panel of around 400 service sector companies.

The sectors covered include consumer (excluding retail), transport, information, communication, finance, insurance, real estate and business services. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in December 2017.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Services Business Activity Index. This is a diffusion index calculated from a question that asks for changes in the volume of business activity compared with one month previously. The Services Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline manufacturing PMI figure.

The Composite Output Index is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. The weights reflect the relative size of the manufacturing and service sectors according to official GDP data. The Composite Output Index may be referred to as the 'Composite PMI' but is not comparable with the headline manufacturing PMI figure.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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